BRENDAN NGEHSI NEWANFORBI
Plaintiff, In Pro Per
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FILED
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SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF SAN JOAQUIN

BRENDAN NGEHSI NEWANFORBI,

Plaintiff,

v.

KATIE PALACIOS, an individual; HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation; and DOES 1-10, inclusive,

Defendants.

Case No. STK-CV-UF-2026-0001032

FIRST AMENDED COMPLAINT FOR DAMAGES, DECLARATORY, AND INJUNCTIVE RELIEF

(1) Fraud / Intentional Misrepresentation;
(2) Negligence (incl. Negligence Per Se);
(3) Intentional Infliction of Emotional Distress; (4) Intentional Interference with Prospective Economic Advantage;
(5) Violation of Bane Act (Civ. Code § 52.1); (6) Declaratory Relief;
(7) Violation of Bus. & Prof. Code § 17200 (Unfair Competition Law)

DEMAND FOR JURY TRIAL

Filed of right pursuant to CCP § 472(a).
Assigned: Hon. George J. Abdallah, Dept. 10A
CMC: October 13, 2026, 8:45 a.m.

INTRODUCTION

1. This is an action for damages, declaratory, and injunctive relief against HOPE Psychotherapy, Inc. (**HOPE**), a private for-profit California corporation, and its Stockton site Director, Katie Palacios (**Palacios**). HOPE contracts with the California Department of Corrections and Rehabilitation (**CDCR**) to provide California Sex Offender Management Board (**CASOMB**)-certified treatment to parolees. Plaintiff is a CDCR parolee and HOPE participant

since on or about March 5, 2021. This is not an action against the State. It is an action against a private company and its managing agents for misrepresenting to Plaintiff and to CDCR that HOPE's treatment program offers an individualized, achievable path to completion when in fact HOPE applies a uniform blanket retention policy that makes completion impossible for any participant prior to parole discharge—a policy the Superior Court of San Mateo County judicially condemned in *In re Dwyer*, No. SC-080355A (Mar. 20, 2023) (Hill, J.), and that violates 15 CCR § 3574(f)(1) effective April 17, 2025.

PARTIES

1. Plaintiff Brendan Ngehsi Newanforbi (**Plaintiff**) is, and at all relevant times was, a natural person residing in San Joaquin County, California, supervised out of the Stockton 2 GPS parole unit, and a holder of a Class A Commercial Driver's License (**CDL**).

2. Defendant Katie Palacios is, and at all relevant times was, the site Director of the HOPE Stockton facility located at 5403 N. Pershing Ave., Suite 200, Stockton, CA 95207, a Licensed Marriage and Family Therapist (LMFT License No. 44555), and a CASOMB-certified provider. As site Director, Palacios held supervisory authority over treatment determinations, phase-progression decisions, treatment-completion characterizations, and the form and content of communications transmitted to CDCR concerning Plaintiff. Palacios is sued individually and as a *managing agent* of HOPE within the meaning of Civil Code § 3294(b).

3. Defendant HOPE Psychotherapy, Inc., d/b/a HOPE Program, is a California corporation that, at all relevant times, has been a CASOMB-certified provider contracting with CDCR's Division of Adult Parole Operations (**DAPO**) to deliver mandatory sex-offender treatment under Penal Code § 3008 and 15 CCR § 3574.

4. Defendants DOES 1-10 are HOPE clinicians, supervisors, managing agents, and

executives whose true names are presently unknown to Plaintiff. Plaintiff is informed and believes each Doe Defendant is responsible for the wrongs alleged and will amend this complaint to state their true names and capacities when ascertained. At all times, each Defendant was the agent, employee, joint venturer, alter ego, and/or co-conspirator of every other Defendant, acting within the course and scope thereof with the consent, knowledge, and ratification of every other Defendant.

JURISDICTION AND VENUE

1. This Court has subject-matter jurisdiction. The amount in controversy exceeds $25,000, exclusive of interest, costs, and equitable relief. Venue is proper in San Joaquin County under CCP §§ 395 and 395.5: the wrongful acts and omissions occurred at the HOPE Stockton facility and at the Stockton parole unit; Palacios works in San Joaquin County; and Plaintiff resides in San Joaquin County.

GENERAL ALLEGATIONS

A. Statutory and Regulatory Framework

1. Penal Code § 3008(d)(2) requires that a sex-offender parolee *successfully complete a sex offender management program* as a condition of parole, and that *[t]he length of the period in the program shall be not less than one year, up to the entire period of parole, as determined by the certified sex offender management professional in consultation with the parole officer and as approved by the court.* The statute thus sets one year as the floor and the entire parole period as the ceiling, with completion to be determined by individualized clinical judgment. Effective April 17, 2025, 15 CCR § 3574(f)(1) provides that *[t]reatment completion and parole discharge are legally separate decisions.*

2. CASOMB's Treatment Completion Guidelines (2018) require *structured clinical judgment* considering risk level, criminogenic needs, individual factors, predicted trajectory, and containment-team judgment, and direct that the determination be a *YES-or-NO conclusion about whether treatment has been completed.* CASOMB's Maintenance and Aftercare Guidelines (Sept. 2024) require that *discharge planning starts at intake* and that *the final determination regarding whether an individual has 'completed' treatment should never come as a surprise to the client.*

B. HOPE's Blanket Retention Policy

1. Notwithstanding the foregoing, HOPE applies a blanket retention policy under which no parolee is determined to have *completed* treatment prior to discharge from parole. HOPE's four-phase structure (preparatory, core, maintenance, aftercare) is designed so that aftercare is treated as mandatory for parolees and only *voluntary* post-discharge. The structure makes completion impossible while a participant remains on parole, regardless of clinical progress, compliance, or risk score.

2. HOPE's policy was judicially condemned in *In re Dwyer*, No. SC-080355A (San Mateo County Super. Ct., March 20, 2023) (Hill, J.). HOPE's own Executive Director of Clinical Training, Dr. Cristina Loree, testified under oath that HOPE requires continuous treatment for all parolees until discharge. The court found the policy *vitiates the Legislature's directive* under Penal Code § 3008(d)(2) and exercised its statutory authority to fix the petitioner's required treatment as terminating short of the full parole term. Plaintiff requests judicial notice of *Dwyer* under Evidence Code §§ 452(d), 453. The *Dwyer* order is a San Mateo County habeas corpus decision that was not provided to Plaintiff by HOPE or CDCR and was not otherwise readily accessible to Plaintiff.

3. HOPE knew of *Dwyer* no later than March 20, 2023, because its own Executive Director of Clinical Training was the witness whose sworn testimony established the policy.

Despite *Dwyer*—and despite the April 17, 2025 effective date of 15 CCR § 3574(f)(1)—HOPE, under Palacios's direction at the Stockton facility, continued to apply the identical blanket retention policy to Plaintiff in 2023, 2024, 2025, and through the most recent containment team meeting on or about February 2026. HOPE's continuation of the policy is driven by financial incentive: each retained parolee generates approximately $10,600 annually in baseline group and CTM revenue; there is no fee for completion; discharge terminates the revenue.

C. Direct Misrepresentations to Plaintiff

1. On or about March 5, 2021, when Plaintiff was directed to enroll at HOPE, HOPE represented to Plaintiff, through its intake clinician at HOPE's Stockton facility, its intake materials, treatment contract, and verbal orientation, that HOPE would maintain an individualized written treatment plan, assess Plaintiff's progress against that plan, and move Plaintiff through phases based on individualized clinical performance, and that if Plaintiff complied with treatment and completed assignments he would have a meaningful, achievable path to completion during his parole term.

2. From in or about 2021 through 2023, Plaintiff's assigned HOPE clinician was Pamela Akins (**Akins**). On or about November 2022, during an in-person HOPE group session at HOPE's Stockton facility (5403 N. Pershing Ave., Suite 200, Stockton, CA 95207), in the presence of other group participants, Akins represented to Plaintiff that the HOPE program had objective, individualized criteria for phase advancement and treatment completion; that Plaintiff's progress would be assessed against those criteria; and that if Plaintiff completed the assigned work he would be able to complete treatment before the end of his parole term. Akins did not disclose, then or at any other time, that HOPE's actual policy is to retain every parolee in treatment until parole discharge regardless of clinical progress.

3. In or about January 2024, during a HOPE group session at the Stockton facility, a

HOPE clinician acting under the supervision and direction of Palacios stated in substance that individuals are *titrating* and *completing the HOPE program,* and that participants who complete their assignments and comply with treatment can titrate and complete. This representation conveyed that sex-offender parolees can and do complete HOPE's program prior to discharge from parole. The clinician did not disclose that HOPE's blanket retention policy forecloses completion for all parolees prior to discharge, regardless of their individual progress.

4. On or about June 2024, during an individual session at HOPE's Stockton facility, a HOPE clinician acting under the supervision and direction of Palacios stated to Plaintiff that she had personally checked with Defendant Palacios regarding Plaintiff's previously submitted and completed homework packets and was informed by Palacios that no homework completed by Plaintiff had ever been found in HOPE's records. The clinician communicated this to Plaintiff as a factual determination—that HOPE possessed zero record of Plaintiff ever having completed any assigned homework.

5. The statement made in June 2024 was false. Plaintiff had, in fact, consistently and fully completed all assigned homework modules and submitted them to HOPE staff throughout his enrollment since 2021. As Palacios herself later admitted in a recorded group session in August 2025 (see paragraph 22 below), HOPE routinely loses client homework packets. The assertion that *no homework had ever been found as completed* was not an accurate reflection of Plaintiff's performance but rather a product of HOPE's own disorganized recordkeeping, falsely attributed to Plaintiff as a failure to complete work.

6. At no time during intake, group sessions, individual sessions, or containment-team meetings did HOPE, Palacios, Akins, or any other HOPE clinician disclose to Plaintiff that HOPE maintained a blanket retention policy under which no parolee would ever be determined to have completed treatment prior to discharge from parole. The existence of this policy was intentionally concealed from Plaintiff.

D. Misrepresentations to CDCR and Homework Mischaracterizations

1. From 2021 through the present, in connection with each semi-annual Containment Team Meeting (**CTM**)—held on or about February and August of each year through the most recent CTM in February 2026—Palacios prepared and submitted treatment-status content to CDCR using CDCR Form 3043 (Containment Team Meeting / Earned Discharge Consideration Committee) and contributed to CDCR's Discharge Review Report (CDCR Form 1502-DR).

2. Palacios's CTM submissions included representations in substance that *Subject partially participates in discussion. Subject has partially completed homework packets. Subject demonstrates partial understanding of the subject material. Subject is fixated on lawsuits instead of subject material,* and characterized Plaintiff's status as *not completed* sex-offender treatment. These submissions were transmitted at each CTM cycle to Plaintiff's parole agents of record, including without limitation Agents Magana, Arestad, Acierto, Urrea, and Long Moua (Badge 7472), and to supervising parole agents including Agent Gary Noguchi (Badge 7284).

3. In fact, by the time of each CTM from at least November 2022 forward, Plaintiff had completed all assigned homework packets for the relevant CTM periods and timely submitted them to HOPE staff. On or about August 2025, during a HOPE group session at the Stockton facility that was recorded on video, Palacios stated in substance that HOPE *routinely* loses client homework packets. Palacios's admission confirms that her repeated CTM characterizations of Plaintiff as having only *partially completed homework packets* reflected HOPE's loss or mishandling of completed work, not Plaintiff's performance, and were false.

4. The November 2025 1502-DR (signed by Agent Moua on November 14, 2025 and Unit Supervisor Noguchi on November 19, 2025) incorporated HOPE's reporting expressly: *Subject's Sex Offender Treatment Progress (HOPE): 10/15/2024 Stable 6/LSCMI 5. Level 2 below average*

Risk ... Core Phase of treatment and working in Block 1 Module 4/7 ... HOPE SOT recommends continued treatment ... Continued DAPO supervision is warranted and recommended. The agent recommendation was *Discharge Denied/No Action.*

5. Palacios's representations to CDCR—including that Plaintiff had only *partially completed homework packets* and had *not completed* treatment—were false. They were the predetermined output of HOPE's blanket retention policy, and of HOPE's own routine loss of homework packets, not the product of individualized clinical assessment of Plaintiff's actual performance. Palacios knew, by reason of her position as site Director, Dr. Loree's testimony in *Dwyer*, and her own August 2025 admission on camera that HOPE routinely loses homework, that HOPE's policy forecloses completion for every participant prior to discharge and that Plaintiff's homework was complete.

E. CDCR's Reliance and But-For Causation

1. CDCR justifiably relied on HOPE's representations because (a) HOPE was the sole CASOMB-certified provider serving the Stockton region, with no alternative provider available to Plaintiff, and (b) DAPO institutionally defers to the treatment provider's determinations of progress and completion. Plaintiff's parole agents Magana, Arestad, Acierto, Urrea, and Moua have each separately stated to Plaintiff, in substance, that *HOPE controls*—that without *sex-offender completion* there will be *no discharge from parole.* The November 2025 1502-DR confirms this institutional deference on its face by relying on HOPE's recommendation as the treatment-based predicate for *Continued DAPO supervision.* But for HOPE's non-completion characterization and its repeated false *partial homework* reports, the November 2025 discharge review would not have had the treatment-based justification on which it expressly rested.

F. August 2025 Retaliatory CTM Statements

1. In or about August 2025, during a CTM held at a CDCR parole office in Stockton, in the presence of Agent Chow, Agent G. Noguchi (Badge 7284), Agent A. Derrick (Badge 6910), and a then-supervising parole agent (now retired), Palacios stated, in substance, that Plaintiff was *disruptive during HOPE group sessions,* a *ringleader,* that his behavior was *abhorrent,* and that he was *often disrespectful to [her] staff,* and characterized Plaintiff's respectful demeanor at the CTM as an *acting job.* Palacios further stated, in substance: *because when you start complaining then the other guys chime in.* These statements were false. Plaintiff's conduct in group consisted of raising legitimate concerns about prolonged retention, the routine loss of completed homework, and disruption from repeated clinician turnover and group resets. Other participants who independently shared similar concerns were falsely attributed to Plaintiff's *influence.*

G. Plaintiff's Specific Economic Harm

1. Plaintiff is a Class A CDL holder. Commercial trucking—particularly long-haul and regional routes—requires the ability to travel without geographic restrictions, maintain flexible schedules, and operate free from monitoring equipment and mandatory treatment attendance. Plaintiff repeatedly informed Palacios, Akins, and other HOPE staff, during individual and group sessions in 2021 through 2026, of his CDL status and of specific employment relationships that conflicted with HOPE's mandatory schedule. Among other communications: (a) in or about January 2022, after Plaintiff missed a HOPE group session in connection with a long-haul assignment for United Road, his then-parole agent (Arestad) threatened to violate Plaintiff's parole and incarcerate him for missing the HOPE session, and Plaintiff was thereby forced to resign from United Road; and (b) in or about February 2022, Plaintiff disclosed to Akins that he was working for Keurig Dr Pepper as a CDL driver and identified specific bi-weekly days on which he was required to be off-duty in order to attend HOPE sessions.

2. Plaintiff had active, recurring economic relationships with the following commercial carriers, among others: United Road, Keurig Dr Pepper, Tiger Lines LLC, US-1 Shorthaul, Lazer

Spot, Inc., and Centerline Drivers. Plaintiff's federal W-2 wage statements document the existence and recurring nature of these relationships. As a result of HOPE's non-completion characterizations and the resulting parole-supervision conditions (mandatory HOPE attendance, GPS, curfew, and geographic restrictions), Plaintiff was forced to resign from his United Road position in January 2022 and was forced to turn down specific dispatches that fell on HOPE group-session days. The year-by-year difference between Plaintiff's but-for CDL earning capacity ($72,000/year) and his actual, supervision-suppressed W-2 earnings—$32,447 lost in 2022, $60,855 lost in 2023, and $16,106 lost in 2024—totals no less than $109,408 for 2022-2024, with continuing losses accruing thereafter at approximately $6,000 per month.

3. HOPE owed Plaintiff an independent duty of care. Plaintiff was a captive client of HOPE: HOPE was the sole CASOMB-certified provider in his region; Plaintiff had no alternative provider; CDCR delegated to HOPE the de facto exclusive authority to make the treatment-status determinations on which discharge decisions rested; and HOPE knew its representations would be communicated to and acted upon by CDCR. Under these circumstances, HOPE undertook a special relationship within the meaning of *Giraldo v. California Dep't of Corrections & Rehabilitation* (2008) 168 Cal.App.4th 231, and assumed an independent duty to perform its assessment and reporting functions with reasonable, individualized clinical care.

FIRST CAUSE OF ACTION

(Fraud / Intentional Misrepresentation — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 27 as though fully set forth herein.

2. Defendants made the following misrepresentations of material fact directly to Plaintiff:

a. **Intake Representations (March 2021):** Through intake materials, treatment

contract, and verbal orientation at HOPE's Stockton facility, HOPE represented that it would maintain an individualized written treatment plan for Plaintiff, assess Plaintiff's progress against the plan, and move Plaintiff through phases based on individualized clinical performance, conveying that there was a meaningful, achievable path to completion during Plaintiff's parole term.

b. **Akins Group Representation (November 2022):** On or about November 2022, during an in-person group session at HOPE's Stockton facility, clinician Pamela Akins represented to Plaintiff that HOPE applied objective, individualized criteria to phase advancement and treatment completion and that Plaintiff had a meaningful, achievable path to completion.

c. **January 2024 Group Representation:** On or about January 2024, during a group session at HOPE's Stockton facility, a HOPE clinician acting under the supervision and direction of Palacios represented to Plaintiff and other group participants that *individuals are titrating and completing the HOPE program,* falsely conveying that parolees enrolled at HOPE can and do successfully complete the program and obtain a treatment-completion determination while still on parole.

d. **June 2024 Individual Session Representation:** On or about June 2024, during an individual session at HOPE's Stockton facility, a HOPE clinician acting under the supervision and direction of Palacios falsely informed Plaintiff that she had checked with Defendant Palacios and that no homework completed by Plaintiff had ever been found in HOPE's records.

e. **CTM 'Partial Homework' Representations (November 2022-Present):** Beginning no later than November 2022, and continuing at each semi-annual CTM through at least February 2026, Palacios represented in CTM documentation and related

communications to CDCR that Plaintiff had *partially completed homework packets,* when in fact Plaintiff had completed all assigned homework.

3. Defendants' misrepresentations were directed both to Plaintiff, to induce his continued participation and forbearance from legal action, and to CDCR, to induce continued parole supervision based on a false portrayal of Plaintiff's performance and completion status.

4. Defendants further intentionally concealed from Plaintiff the existence and operation of HOPE's blanket retention policy, under which no parolee can be determined to have completed treatment prior to parole discharge regardless of clinical progress, and the fact that HOPE's internal policy—not Plaintiff's individual performance—precluded completion. Defendants also concealed that HOPE routinely lost homework packets, while attributing *partial completion* to Plaintiff.

5. The foregoing representations and omissions were false and material. HOPE's actual operating policy was, and is, the blanket retention policy judicially condemned in *Dwyer*; no parolee is determined to have completed treatment prior to discharge from parole. Plaintiff's homework packets were in fact fully completed and submitted; any absence from HOPE's files was the product of HOPE's own loss or mishandling, not Plaintiff's non-performance. Defendants knew these representations were false: HOPE's blanket retention policy was admitted under oath by HOPE's Executive Director of Clinical Training in *Dwyer* in March 2023; the Superior Court found that the policy *vitiates the Legislature's directive* in Penal Code § 3008(d)(2); Palacios, as Stockton site Director, implemented and oversaw that policy with full knowledge of its operation; and Palacios personally admitted in August 2025 that HOPE routinely loses client homework packets.

6. Defendants made the misrepresentations and concealments with the intent that Plaintiff would rely on them by enrolling in and remaining in HOPE's program, continuing to complete

homework and attend sessions even after years of retention and phase looping, structuring his CDL employment around HOPE's schedule, refraining from seeking alternative providers, and foregoing earlier judicial relief under Penal Code § 3008(d)(2). Defendants further intended that CDCR would rely on HOPE's *partial homework* and *non-completion* characterizations in CTM reports and discharge reviews so that Plaintiff would remain in treatment and on parole, preserving HOPE's fee-for-service revenue from his mandated participation.

7. Plaintiff justifiably relied on Defendants' misrepresentations and omissions as follows:

a. **Enrollment and Continued Participation:** Plaintiff enrolled in HOPE and continuously participated from March 2021 through the present, attending twice-weekly groups, individual sessions, and semi-annual CTMs, incurring travel and time costs, rather than seeking referral to an alternative CASOMB-certified provider or pursuing earlier judicial relief under Penal Code § 3008(d)(2).

b. **Forbearance from Legal Action (2022-2024):** By November 2022, Plaintiff had been enrolled in HOPE for more than one year—the statutory minimum treatment period under Penal Code § 3008(d)(2)—and was legally eligible to seek judicial review of his continued retention or file a habeas petition challenging the absence of an individualized completion determination. Plaintiff considered doing so but reasonably refrained from filing in 2022, 2023, and the first half of 2024 because Akins's November 2022 representations, the January 2024 group representations, and HOPE's ongoing assurances led Plaintiff to believe he was progressing along a defined path to completion and that continuing to participate, rather than litigating, was the appropriate route to discharge. Plaintiff understood comments about *partial completion* of homework as indicating he needed to do more or better work, not that HOPE had lost his completed packets. Plaintiff did not discover the impossibility of completion until he reviewed the *Dwyer* order and related materials in or about late 2025; the *Dwyer* order is a San Mateo

County habeas corpus decision that was not provided to Plaintiff by HOPE or CDCR and was not otherwise readily accessible to him. Had Plaintiff known in November 2022 or January 2024 that completion was structurally impossible, he would have filed for judicial relief at that time rather than waiting until 2026.

c. **Response to June 2024 Representation:** In justifiable reliance on the false statement that HOPE had no record of his completed homework, Plaintiff redoubled his efforts to maintain personal copies of all submitted homework, continued to submit all future assignments believing the issue was a correctable documentation error on his part, and refrained from escalating his concerns to CDCR or filing a habeas petition in mid-2024. Had Plaintiff known the truth—that HOPE was losing his work and that the missing records were a result of HOPE's own systemic failures—he would have ceased this futile effort and pursued immediate judicial intervention.

d. **CDL Employment Sacrifices:** Plaintiff repeatedly informed Palacios, Akins, and other HOPE staff during individual and group sessions in 2021 through 2026 of his CDL status and of specific employment relationships that conflicted with HOPE's mandatory schedule. In reliance on Defendants' representations that adherence to the program would lead to completion and discharge, Plaintiff prioritized HOPE attendance over CDL employment opportunities. Specifically:

i. In or about January 2022, after Plaintiff missed a HOPE group session in connection with a long-haul assignment for United Road, his then-parole agent (Arrestad) threatened to violate Plaintiff's parole and incarcerate him for missing the HOPE session. Believing that strict compliance with HOPE's schedule was necessary to achieve completion and eventual discharge, Plaintiff was forced to resign from his United Road position.

ii. In or about February 2022, Plaintiff disclosed to Akins that he was working for Keurig Dr Pepper as a CDL driver and identified specific bi-weekly days on which he was required to be off-duty in order to attend HOPE sessions. Plaintiff accepted lower-earning, local routes and turned down long-haul work because he believed that strict adherence to HOPE's schedule would result in earlier completion and thus earlier lifting of GPS/curfew constraints.

e. **Continued Homework Submission:** Despite being told in June 2024 that no record of his homework existed, Plaintiff continued to complete and submit all assigned homework packets from June 2024 through the present, believing that his individual effort would be recognized and credited toward completion.

8. As a direct and proximate result of Defendants' fraud, Plaintiff remained in HOPE's program and on parole supervision longer than he otherwise would have; suffered denial of discharge in November 2025 based in substantial part on HOPE's *non-completion* and *partial homework* characterizations; lost at least $109,408 in CDL wages from 2022-2024 alone, with additional losses accruing at approximately $6,000 per month; incurred costs of compliance with the supervision conditions that HOPE's false reports caused to be imposed; and suffered severe emotional distress, including anxiety, humiliation, sleep disruption, and stigma associated with being trapped in a program he later learned was structurally incapable of certifying completion.

9. Defendants' conduct was malicious, oppressive, and fraudulent within the meaning of Civil Code § 3294. Defendants continued the blanket retention policy after *Dwyer* judicially condemned it in March 2023 and after the April 17, 2025 effective date of 15 CCR § 3574(f)(1); Palacios knowingly mischaracterized Plaintiff's homework and treatment status while admitting that HOPE routinely loses homework; and the wrongful acts were committed, authorized, and ratified by HOPE's *managing agents,* including Palacios as Stockton site Director with supervisory authority over treatment determinations and HOPE's Executive Director of Clinical

Training. Plaintiff is entitled to punitive damages.

SECOND CAUSE OF ACTION

(Negligence, Including Negligence Per Se — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 36 as though fully set forth herein.

2. As alleged in paragraph 27, HOPE and Palacios undertook a special relationship with Plaintiff and assumed an independent duty of care, including duties to: (a) maintain an individualized written treatment plan; (b) assess Plaintiff's progress against objective clinical criteria; (c) accurately report Plaintiff's clinical status and homework completion to CDCR; (d) refrain from applying a blanket policy that forecloses completion; and (e) exercise reasonable care in maintaining and tracking client homework records.

3. **Negligence Per Se.** HOPE's blanket retention policy violated, and continues to violate, Penal Code § 3008(d)(2) (by converting the statutory ceiling into a mandatory floor) and 15 CCR § 3574(f)(1) (by collapsing legally separate decisions into one). These provisions were enacted to protect the class of persons to which Plaintiff belongs (parolees in mandatory sex-offender treatment) from the kind of harm that occurred here (indefinite, non-individualized retention with attendant deprivations of liberty and earning capacity). Evid. Code § 669. Defendants' failure to maintain accurate homework records and their false reporting of *partial completion* further violated the standard of care applicable to licensed clinical professionals.

4. Defendants breached these duties as alleged in paragraphs 9-11, 15-16, 19-22, and 24. Defendants' breaches were a substantial factor in causing Plaintiff harm: parole agents and supervisors expressly relied on HOPE's *non-completion* characterization in the 1502-DR (*HOPE SOT recommends continued treatment ... Continued DAPO supervision is warranted and*

recommended); Plaintiff was forced to resign from United Road and to turn down specific dispatches; and Plaintiff sustained measured wage losses of no less than $109,408 for 2022-2024 with continuing losses, costs of compliance, and severe emotional distress.

THIRD CAUSE OF ACTION

(Intentional Infliction of Emotional Distress — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 40 as though fully set forth herein.

2. Defendants engaged in extreme and outrageous conduct, including:

a. The continued, knowing application to Plaintiff of a blanket retention policy that had been judicially condemned in *Dwyer* in March 2023 and that, as of April 17, 2025, violates 15 CCR § 3574(f)(1);

b. The false characterization to CDCR of Plaintiff's status as *not completed* with knowledge that the characterization was a policy output, not a clinical judgment, and with knowledge that CDCR would rely on it to deny discharge;

c. The repeated false reporting to CDCR that Plaintiff had only *partially completed homework packets,* when Defendants knew Plaintiff had completed all assignments and that HOPE routinely lost client packets;

d. The June 2024 false statement that no record of Plaintiff's completed homework existed, which was calculated to cause Plaintiff to believe his years of effort had been futile and that he bore responsibility for HOPE's recordkeeping failures; and

e. Palacios's August 2025 CTM statements falsely accusing Plaintiff of being *disruptive,* a *ringleader,* and *abhorrent,* made in retaliation for Plaintiff's protected complaints, in front of his parole agents, during a meeting that determined his liberty.

3. Defendants' conduct was directed at Plaintiff and was intentional and/or undertaken with reckless disregard of the probability that Plaintiff would suffer severe emotional distress. Defendants knew that Plaintiff's liberty depended on HOPE's characterizations and knew that falsely reporting his progress, falsely denying the existence of his completed work, and retaliating against him in front of his parole agents would foreseeably cause severe distress.

4. As a direct and proximate result, Plaintiff suffered severe emotional distress, including but not limited to anxiety, depression, feelings of helplessness, and mental anguish. Plaintiff is entitled to compensatory and punitive damages.

FOURTH CAUSE OF ACTION

(Intentional Interference with Prospective Economic Advantage — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 44 as though fully set forth herein.

2. **Existing economic relationships with probability of future benefit.** Plaintiff had active, recurring economic relationships with the following commercial carriers: United Road, Keurig Dr Pepper, Tiger Lines LLC, US-1 Shorthaul, Lazer Spot, Inc., and Centerline Drivers. Plaintiff possessed the required Class A CDL credential, and CDL drivers were and are in high demand. Federal W-2 wage statements document the existence and recurring nature of these relationships.

3. **Defendants' knowledge.** Defendants had actual knowledge of these specific economic

relationships through Plaintiff's intake forms, treatment participation, and individual and group sessions, including Plaintiff's February 2022 disclosure to Akins of his Keurig Dr Pepper position and bi-weekly off-day requirements, and Plaintiff's January 2022 communications regarding the United Road long-haul assignment.

4. **Independently wrongful conduct.** Defendants engaged in independently wrongful conduct, including (a) the fraud alleged in the First Cause of Action; (b) the violations of Penal Code § 3008(d)(2) and 15 CCR § 3574(f)(1) alleged in paragraph 39; (c) the false defamatory CTM statements alleged in paragraph 24; and (d) the false reporting of *partial homework completion* and denial of completed homework records.

5. **Intent and disruption.** Defendants' wrongful conduct was designed to disrupt Plaintiff's economic relationships, or, in the alternative, was undertaken with knowledge that disruption was substantially certain given Defendants' knowledge of the supervision conditions that would result. Plaintiff was forced to resign from his United Road position in January 2022, was forced to turn down specific dispatches that conflicted with mandatory HOPE sessions, and was unable to accept long-haul positions requiring unrestricted travel. Plaintiff has suffered economic damages of no less than $109,408 for 2022-2024 with continuing losses.

FIFTH CAUSE OF ACTION

(Violation of Bane Act, Civ. Code § 52.1 — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 49 as though fully set forth herein.

2. Plaintiff possesses statutory rights under Penal Code § 3008(d)(2)—the right to a non-arbitrary, individualized clinical determination of treatment length and completion based on the criteria the Legislature established—and under 15 CCR § 3574(f)(1)—the right to have

treatment-completion and parole-discharge maintained as legally separate decisions.

3. Defendants interfered, or attempted to interfere, with these rights through threats, intimidation, or coercion, including:

a. The practical coercion exerted through HOPE's exclusive gatekeeping role and HOPE's knowledge that its *non-completion* and *partial homework* characterizations would result in continued GPS monitoring, curfew, and threat of parole violation;

b. Palacios's August 2025 retaliatory and defamatory CTM statements, made with the foreseeable consequence of intimidating Plaintiff into curtailing his protected expression of complaints about the program; and

c. The coercive linkage between Plaintiff's acceptance of the non-individualized blanket retention policy and his avoidance of parole-violation consequences.

4. Palacios's August 2025 statements constituted intimidation because a reasonable person in Plaintiff's position would have been deterred from exercising his right to complain about treatment conditions for fear of adverse parole consequences. Plaintiff is entitled to actual damages, statutory damages of $25,000 for each violation, attorney's fees and costs to the extent permitted by Civil Code § 52.1(i), and injunctive relief.

SIXTH CAUSE OF ACTION

(Declaratory Relief — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 53 as though fully set forth herein.

2. An actual controversy has arisen and now exists between Plaintiff and Defendants concerning the lawfulness of HOPE's blanket retention policy as applied to Plaintiff. Plaintiff contends, and Defendants deny, that HOPE's blanket retention policy—under which no parolee can be determined to have *completed* treatment prior to parole discharge regardless of clinical progress—is unlawful as applied to Plaintiff because it (a) converts the durational ceiling of Penal Code § 3008(d)(2) into a mandatory floor; (b) violates 15 CCR § 3574(f)(1)'s requirement that treatment completion and parole discharge be maintained as legally separate decisions; and (c) violates CASOMB's Treatment Completion Guidelines (2018) and Maintenance and Aftercare Guidelines (Sept. 2024) requirements of individualized assessment.

3. The controversy is capable of repetition yet evading review as to Plaintiff because HOPE continues to apply the same policy to Plaintiff and will submit further treatment characterizations to CDCR in future discharge reviews. Plaintiff seeks a judicial declaration of his rights and Defendants' duties, and a permanent injunction requiring HOPE to conduct an individualized assessment of Plaintiff's eligibility for treatment completion based on published, objective clinical criteria, free from the blanket retention policy.

SEVENTH CAUSE OF ACTION

(Violation of Business & Professions Code § 17200 — Unfair Competition Law — Against All Defendants)

1. Plaintiff incorporates paragraphs 1 through 56 as though fully set forth herein.

2. Defendants' business practice of applying a blanket retention policy that violates Penal Code § 3008(d)(2) and 15 CCR § 3574(f)(1) constitutes an unlawful business act under Business & Professions Code § 17200. Defendants' practice of falsely reporting *partial homework completion* and failing to maintain accurate client records while attributing missing records to clients constitutes an additional unlawful and unfair business act. Said practices are also unfair

because the financial incentive to retain clients indefinitely outweighs any legitimate clinical justification, and the harm to Plaintiff (loss of liberty and wages) outweighs any utility of the policy. The harm to consumers and the public from a policy that makes treatment completion structurally impossible and from systematic misreporting of client progress is substantial and not outweighed by countervailing benefits.

3. As a direct and proximate result of Defendants' unlawful and unfair business practices, Plaintiff has lost money and property in the form of lost CDL wages, costs of compliance with unlawful supervision conditions, and other economic harm. Plaintiff seeks restitution of all monies wrongfully obtained or retained by HOPE as a result of this policy, and an injunction prohibiting further application of the blanket retention policy to Plaintiff and to all similarly situated parolees.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff prays for judgment against Defendants HOPE Psychotherapy, Inc., Katie Palacios, and DOES 1-10, jointly and severally, as follows:

A. Compensatory damages according to proof, including economic damages of no less than $109,408 for 2022-2024 with continuing losses; costs of compliance with unlawful supervision conditions; and non-economic damages for emotional distress and loss of liberty;

B. Statutory damages under Civil Code § 52.1;

C. Punitive damages under Civil Code § 3294 in an amount sufficient to punish and deter;

D. Declaratory relief as set forth in the Sixth Cause of Action;

E. A permanent injunction requiring HOPE to conduct a bona fide, individualized assessment of Plaintiff's eligibility for treatment completion based on published, objective clinical criteria;

F. Restitution of all monies wrongfully obtained or retained by Defendants as a result of the unlawful and unfair business practices alleged herein;

G. Reasonable attorney's fees and costs as permitted by Civil Code § 52.1(i), Code of Civil Procedure § 1021.5, and any other applicable authority;

H. Prejudgment and postjudgment interest at the maximum legal rate;

I. Costs of suit; and

J. Such other and further relief as this Court deems just and proper.

DEMAND FOR JURY TRIAL

Plaintiff demands a trial by jury on all issues so triable.

Dated: April 22, 2026

BRENDAN NGEHSI NEWANFORBI